Complete Financial Literacy

Module 4 Study Guide

Introduction to Investing

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Saving vs. Investing: What Is the Difference?

In this lesson: Defining Saving vs Investing; Purpose and Time Horizons; TT$ 5-Year Compariso

Key points

- Saving protects cash for short-term emergencies
- Investing grows wealth long-term to beat local inflation
- Combine both tools to build complete financial fitness

Examples from the lesson

- We’re kicking off Module 4, titled "Introduction to Investing," with our very first lesson: "Saving vs.
- But in reality, they serve two completely different purposes and operate on very different time horizons.
- When you put TT$500 into a regular commercial bank savings account or an accessible credit union share account, your main goal is capital preservation.
- Let's look at a concrete local example to see how this works in practice with real numbers over a five-year period. Imagine you have TT$6,000 saved up today. If you choose to put that full TT$6,000 into a standard bank savings account earning a modest 0.5% annual interest, you will earn roughly TT$151 in total interest after five years.
- Your total balance reaches TT$6,151, keeping your initial principal completely safe and ready for a rainy day.
- Now, let's see what happens if you allocate that same TT$6,000 toward a long-term investment option, like a diversified local equity mutual fund or local stocks.
- Assuming an average annual return of 6%, that same TT$6,000 could grow by TT$2,029 in total return over those same five years.
- That brings your potential end value to TT$8,029.
- That extra TT$1,878 in growth represents the power of letting your money work for you over time.
- Short-term goals—anything you need money for within one to three years—belong strictly in safe, liquid savings accounts.
- Long-term goals—like preparing for retirement twenty years down the road or building a college fund for your child—require the growth engine of long-term investments.

- In our next lesson, "Lesson 2: Risk, Return, and Time Horizon Explained Simply," we will dive deeper into how risk and return balance each other out across different time frames so you can choose the best assets for your personal journey.

Lesson 2: Risk, Return, and Time Horizon Explained Simply

In this lesson: Defining Risk, Return, and Time Horizon; The Relationship Between Risk and Ret

Key points

- Risk is uncertainty, return is growth, and time horizon is your timeline
- Higher returns require higher risk, but time reduces short-term impact
- Match short-term goals to conservative options and long-term goals to growth

Examples from the lesson

- We are currently in Module 4, Introduction to Investing, and today we are diving into Lesson 2: Risk, Return, and Time Horizon Explained Simply.
- Let's start by breaking down these three core building blocks of investing.
- These three forces are always linked together like passengers in a maxi taxi.
- If you are investing for a home down payment in ten years, your long time horizon gives you room to ride out market ups and downs.
- Imagine two friends in Trinidad, Devon and Prya, who each have TT$ 5,000 to allocate toward their goals.
- Devon wants to take a trip to Tobago in 12 months, so he chooses a conservative, low-risk option like a credit union fixed deposit.
- Prya wants to build wealth over 10 years, so she chooses a diversified local equity fund.
- Devon invests his TT$ 5,000 for one year with minimal risk.
- At the end of the year, his principal of TT$ 5,000 remains completely intact, and he earns a modest TT$ 75 in returns, giving him TT$ 5,075 ready for his trip.
- Prya, on the other hand, keeps her TT$ 5,000 invested over a full decade.
- Over 10 years, her patient approach allows her investment to grow significantly beyond her initial contribution.
- In our next lesson, Lesson 3: Your First Investment Options in Trinidad & Tobago, we will look at the actual local investment vehicles available right here at home, from mutual funds to treasury bonds.

Lesson 3: Your First Investment Options in Trinidad & Tobago

In this lesson: Mutual Funds Overview; Credit Union Products; T&T Stock Exchange; Practical A

Key points

- Mutual funds provide hands-off diversification @ "mutual funds for instant diversification,"
- Credit unions offer community ownership @ "credit union products for community ownership,"
- TTSE shares drive direct growth @ "stock exchange for direct equity growth."

Examples from the lesson

- We are still in Module 4, "Introduction to Investing," and today we dive into Lesson 3: "Your First Investment Options in Trinidad and Tobago."
- Let us start with one of the most popular local choices: mutual funds.
- Let us walk through a practical example using TT$500 to see how you might split your initial investment across these options.
- Imagine you have TT$500 set aside this month from your salary to start your journey.
- First, you allocate TT$250 to a local TT$ income mutual fund.
- Next, you place TT$150 into your local credit union share account.
- Finally, you put the remaining TT$100 toward buying shares on the Trinidad and Tobago Stock Exchange through a licensed local stockbroker.
- Together, these three allocations add up to your total initial investment of TT$500, perfectly spread across safety, community growth, and market equity.
- Notice how this simple habit of dividing your TT$500 creates instant local diversification.
- You are not putting all your eggs in one basket, nor are you sitting on the sidelines waiting until you have thousands of dollars saved up.
- Today, we compared three primary local investment options in Trinidad and Tobago: mutual funds for instant diversification, credit union products for community ownership, and the stock exchange for direct equity growth.
- We also demonstrated how a single TT$500 allocation can be thoughtfully split across all three paths to balance accessibility, stability, and growth.

Recap checklist — can you say each one?

Lesson 1: Saving vs. Investing: What Is the Difference?

- ☐ Saving protects cash for short-term emergencies
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- ☐ Combine both tools to build complete financial fitness

Lesson 2: Risk, Return, and Time Horizon Explained Simply

- ☐ Risk is uncertainty, return is growth, and time horizon is your timeline
- ☐ Higher returns require higher risk, but time reduces short-term impact
- ☐ Match short-term goals to conservative options and long-term goals to growth

Lesson 3: Your First Investment Options in Trinidad & Tobago

- ☐ Mutual funds provide hands-off diversification @ "mutual funds for instant diversification,"
- ☐ Credit unions offer community ownership @ "credit union products for community ownership,"
- ☐ TTSE shares drive direct growth @ "stock exchange for direct equity growth."